

Markets

Gold Slips as US Inflation Print Signals Likely Rate Cut Delay

- Core CPI for March tops forecasts for a third straight month
- Swap traders now price in just two Fed rate cuts by year-end

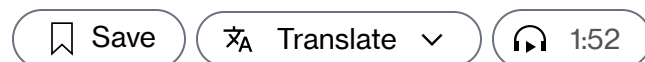


The precious metal has rallied more than 18% since mid-February. *Photographer: Anindito Mukherjee/Bloomberg*

By [Yvonne Yue Li](#)

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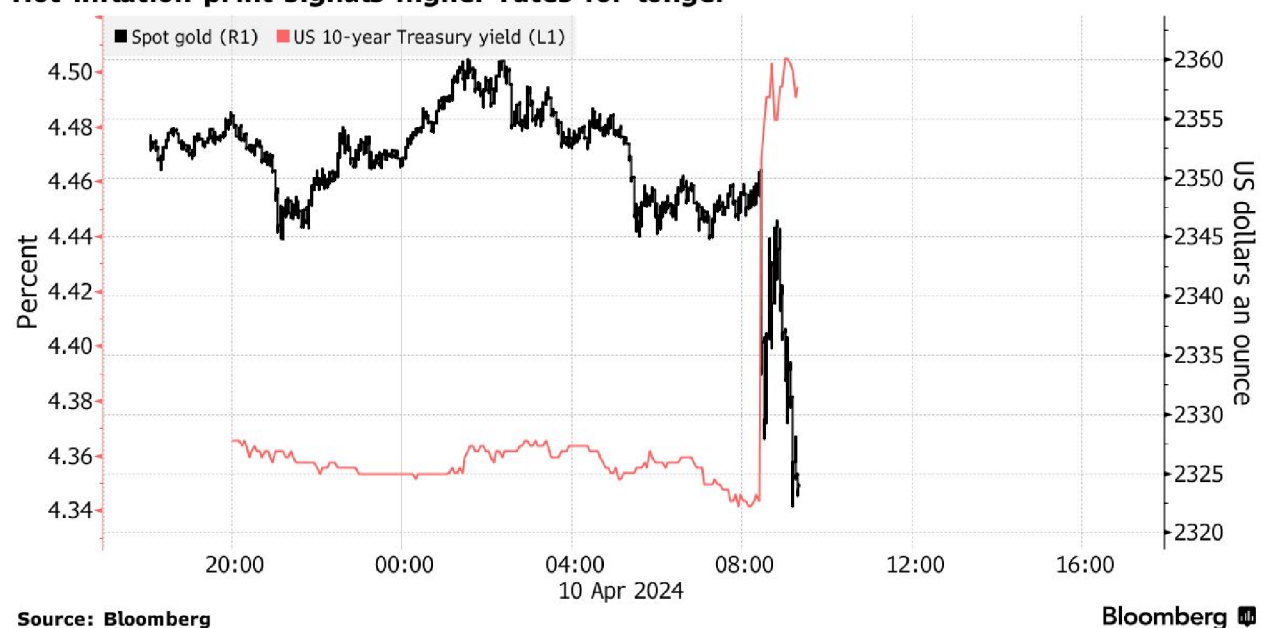
Gold declined after a key inflation report topped forecasts for a third straight month, signaling persistent price pressures that will likely delay any Federal Reserve interest-rate cuts until later in the year.

The so-called core consumer price index, which excludes food and energy costs, increased 0.4% from February, according to government data Wednesday. It advanced 3.8% from a year ago, holding steady from the prior month. Economists see the core gauge as a better indicator of underlying inflation than the overall CPI.

Treasury yields and the dollar advanced after the print, sending bullion as much as 1.4% lower to \$2,319.50 an ounce. Swap traders now price in just two cuts by year-end, compared with three cuts policymakers forecast at their March meeting.

Gold Slumps After US CPI Tops Forecast

Hot inflation print signals higher rates for longer



The hot print in price pressures means that rates may remain high for a longer period of time. That's negative for bullion as it pays no interest.

Still, gold is holding at elevated levels, hitting an all-time high of \$2,365.35 on Tuesday after a series of new peaks.

The rally has left some onlookers puzzled because of the lack of any obvious triggers – especially as convictions on three quarter-point rate cuts faded

fast. Heightened geopolitical risks in the Middle East and Ukraine, plus buying by central banks, led by China, have added some bullish momentum for the precious metal.

Gold is partly helped by buying as some investors shifted focus “from the number of rate cuts to sticky and rising inflation,” said Ole Hansen, head of commodity strategy at Saxo Bank AS.

Hansen sees an overdue correction to \$2,280 would still only signal a weak correction with a strong uptrend.

Spot gold fell 0.9% to \$2,332.23 an ounce as of 4:40 p.m. in New York. Silver, platinum and palladium all dropped.



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